

The Market Is Still Not Efficient

by Nancy Zimmerman

Diving again into this classic work by Benjamin Graham and David Dodd brings me back in time, to my adolescent encounter with Graham and Dodd's other major work, *The Intelligent Investor*. That book was my first exposure to the idea that investing begins with fundamental analysis. Somewhat later, I picked up *Security Analysis* and started to realize that investing might be something one could do professionally. Seth Klarman's invitation to join this 88-year-old book club prompts fond memories of those early impressions of Graham and Dodd.

Rereading the clear prose and fine examples of Part VII of *Security Analysis* reminds me of those moments when I first understood that the hard work of analysis, coupled with a patient and disciplined approach, could lead to an intellectually challenging and rewarding career. It also reminds me of the scores of investments I have made where Graham and Dodd's analytical precepts have continued to ring true. I share Benjamin Graham's view that good investing starts with a meticulous analysis of the security that you are proposing to go long or short. Sound investment analysis is forward-looking and involves both hard work and humility. Many decades after the publication of *Security Analysis*, the market still offers opportunities where the potential excess returns warrant the risks to which an investor's capital is exposed—what this book poetically terms a “margin of safety.”